INDEPENDENT AUDITORS' REPORT

To the Shareholders

We have audited the accompanying consolidated financial statements of Canada Bread Company, Limited, which comprise the consolidated balance sheets as at December 31, 2010 and December 31, 2009 and the consolidated statements of earnings, comprehensive income, retained earnings, and cash flows for the years then ended, and notes, comprising a summary of significant accounting policies and other explanatory information.

Management's Responsibility for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with Canadian generally accepted accounting principles, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these consolidated financial statements based on our audits. We conducted our audits in accordance with Canadian generally accepted auditing standards. Those standards require that we comply with ethical requirements and plan and perform an audit to obtain reasonable assurance about whether the consolidated financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. The procedures selected depend on our judgment, including the assessment of the risks of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, we consider internal control relevant to the entity's preparation and fair presentation of the consolidated financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements.

We believe that the audit evidence we have obtained in our audits is sufficient and appropriate to provide a basis for our audit opinions.

Opinion

In our opinion, the consolidated financial statements present fairly, in all material respects, the consolidated financial position of Canada Bread Company, Limited as at December 31, 2010 and December 31, 2009, and its consolidated results of operations and its consolidated cash flows for the years then ended in accordance with Canadian generally accepted accounting principles.

KPMG LLP

Chartered Accountants,
Licensed Public Accountants
Toronto, Canada
February 23, 2011

CONSOLIDATED FINANCIAL STATEMENTS

Consolidated Balance Sheets

As at December 31, (In thousands of Canadian dollars)	2010	2009
ASSETS		
Current Assets:		
Cash and cash equivalents	$ 84,401	$ 57,698
Accounts receivable (Note 3)	29,773	63,620
Note receivable (Note 3)	59,159	–
Inventories (Note 4)	55,477	56,659
Future tax asset (Note 17)	4,015	1,640
Prepaid expenses and other assets	4,516	4,438
	$ 237,341	$ 184,055
Property and equipment (Note 5)	391,690	387,252
Goodwill (Note 6)	375,894	386,807
Other long-term assets (Note 7)	13,588	11,620
Other intangible assets (Note 8)	13,626	16,678
	$ 1,032,139	$ 986,412
LIABILITIES AND SHAREHOLDERS' EQUITY		
Current Liabilities:		
Bank indebtedness	$ 7,777	$ 4,247
Accounts payable and accrued charges	185,216	172,172
Due to Maple Leaf Foods Inc.	5,336	3,817
Dividends payable	1,525	1,525
Income and other taxes payable	3,248	13,155
Current portion of long-term debt (Note 9)	2,332	–
	$ 205,434	$ 194,916
Long-term debt (Note 9)	1,629	2,547
Future tax liability (Note 17)	30,797	33,338
Other long-term liabilities (Note 11)	8,433	8,524
Shareholders' equity (Note 12)	785,846	747,087
	$ 1,032,139	$ 986,412

Contingencies and commitments (Note 22)
See accompanying Notes to the Consolidated Financial Statements

On behalf of the Board



RICHARD A. LAN
Director



WILLIAM E. AZIZ
Director

Consolidated Statements of Earnings

Years ended December 31, (In thousands of Canadian dollars, except share amounts)	2010	2009
Sales	$ 1,588,437	$ 1,705,788
Cost of goods sold	1,254,901	1,365,470
Gross margin	$ 333,536	$ 340,318
Selling, general and administrative expenses	223,059	219,781
Earnings from operations before the following:	$ 110,477	$ 120,537
Restructuring and other related costs (Note 14)	(15,548)	(4,908)
Other income (expense) (Note 15)	(5,819)	2,439
Earnings before interest and income taxes	$ 89,110	$ 118,068
Interest expense (Note 16)	3,308	5,084
Earnings before income taxes	$ 85,802	$ 112,984
Income taxes (Note 17)	24,827	35,506
Net earnings	$ 60,975	$ 77,478
Earnings per share – basic and diluted (Note 24)	$ 2.40	$ 3.05
Weighted average number of shares (millions)	25.4	25.4

See accompanying Notes to the Consolidated Financial Statements

Consolidated Statements of Comprehensive Income

Years ended December 31, (In thousands of Canadian dollars)	2010	2009
Net earnings	$ 60,975	$ 77,478
Other comprehensive loss (Note 13)	(16,116)	(32,644)
Comprehensive income	$ 44,859	$ 44,834

Consolidated Statements of Retained Earnings

Years ended December 31, (In thousands of Canadian dollars)	2010	2009
Retained earnings, beginning of year	$ 658,541	$ 587,163
Net earnings	60,975	77,478
Dividends declared ($0.24 per share; 2009: $0.24 per share)	(6,100)	(6,100)
Retained earnings, end of year	$ 713,416	$ 658,541

See accompanying Notes to the Consolidated Financial Statements

CONSOLIDATED FINANCIAL STATEMENTS

Consolidated Statements of Cash Flows

Years ended December 31, (In thousands of Canadian dollars)	2010	2009
CASH PROVIDED BY (USED IN)		
Operating Activities		
Net earnings	$ 60,975	$ 77,478
Add (deduct) items not affecting cash:		
Depreciation and amortization	50,159	53,992
Future income taxes	(6,894)	67
Loss on sale of property and equipment	126	471
Change in provision for restructuring and other related costs	11,561	2,204
Amortization of terminated interest rate swaps	2,089	1,975
Loss on interest rate swaps (Note 13)	5,876	–
Other	42	(2,826)
Change in non-cash operating working capital	(33,449)	(24,315)
Cash provided by operating activities	$ 90,485	$ 109,046
Financing Activities		
Dividends paid	(6,100)	(6,100)
Increase (decrease) in long-term debt	2,000	(1,971)
Settlement of interest rate swaps with Maple Leaf Foods Inc.	–	(8,502)
Cash used in financing activities	$ (4,100)	$ (16,573)
Investing Activities		
Additions to property and equipment	(66,595)	(41,659)
Proceeds from sale of property and equipment	3,114	547
Change in intangible assets	254	502
Other	15	(1,239)
Cash used in investing activities	$ (63,212)	$ (41,849)
Increase in cash and cash equivalents	23,173	50,624
Cash and cash equivalents, beginning of year	53,451	2,827
Cash and cash equivalents, end of year	$ 76,624	$ 53,451
Net cash and cash equivalents is comprised of:		
Cash and cash equivalents	84,401	57,698
Bank Indebtedness	(7,777)	(4,247)
Net cash and cash equivalents, end of year	$ 76,624	$ 53,451

See accompanying Notes to the Consolidated Financial Statements

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Years ended December 31, 2010 and 2009
(Tabular amounts in thousands of Canadian dollars, except share amounts)

1. THE COMPANY

Canada Bread Company, Limited ("Canada Bread" or the "Company") and its subsidiaries operate in the bakery industry across North America and internationally. Its principal business is the manufacture and sale of bakery and pasta products, including fresh bread, rolls, bagels and par-baked bread. Canada Bread is 90.0% owned by Maple Leaf Foods Inc. ("Maple Leaf") as at December 31, 2010.

2. SIGNIFICANT ACCOUNTING POLICIES

The following are the significant accounting policies of the Company, which are in accordance with Canadian Generally Accepted Accounting Principles ("GAAP").

(a) Principles of Consolidation

The consolidated financial statements include the accounts of the Company and its subsidiaries. Investments in associated companies, over which the Company exercises significant influence, are accounted for by the equity method. Investments in equity securities of entities over which the Company does not exert significant influence are accounted for at cost or at fair value depending on whether such investments are publicly traded.

(b) Use of Estimates

The preparation of periodic financial statements necessarily involves the use of estimates. Estimates are used when accounting for items and matters such as allowances for doubtful accounts, sales of receivables, inventory obsolescence, depreciation and amortization, asset valuations, impairment assessments, fair value determinations, employee benefits, pensions, taxes and any corresponding valuation allowances, restructuring and other related costs and contingencies. Should the underlying assumptions change, the actual amounts could differ from those estimates.

(c) Translation of Foreign Currencies

The accounts of the Company are presented in Canadian dollars. The financial statements of foreign subsidiaries whose unit of measure is not the Canadian dollar are translated into Canadian dollars using the exchange rate in effect at the year end for assets and liabilities and the average exchange rates for the period for revenue, expenses and cash flows. Exchange gains or losses on translation of foreign subsidiaries are included in other comprehensive income, a component of shareholders' equity, until realized.

(d) Revenue Recognition

The majority of the Company's revenue is derived from the sale of product to retail and foodservice customers. The Company recognizes revenues from product sales at the fair value of the consideration received or receivable, net of estimated returns and an estimate of sales incentives provided to customers. Revenue is recognized when the customer takes ownership of the product, title has transferred, all the risks and rewards of ownership have transferred to the customer, recovery of the consideration is probable, the Company has satisfied its performance obligations under the arrangement, and has no ongoing involvement with the sold product. The value of sales incentives provided to customers are estimated using historical trends and are recognized at the time of sale as a reduction of revenue. Sales incentives include various rebate and promotional programs provided to the Company's customers. These rebates are primarily based on achievement of specified volume or growth in volume levels. In subsequent periods, the Company monitors the progress of customers related to sales incentive programs and makes any required adjustments to both revenue and sales incentive accruals.

Except for fresh bread, the Company generally does not accept returns of spoiled products from customers. To account for spoiled products, in certain cases customers are provided with allowances to cover any damage or spoilage, and such allowances are deducted from sales at the time of revenue recognition. In the case of fresh bread, customer returns are deducted from sales to that customer.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

(e) Financial Instruments

The Company's financial assets and financial liabilities are classified as held-for-trading, available-for-sale, held-to-maturity, loans and receivables or other financial liabilities. The classification depends on the purpose for which the financial instruments were acquired and their characteristics. Held-for-trading is the required classification for all derivative financial instruments unless they are specifically designated within an effective hedge relationship. Held-for-trading financial instruments are measured at fair value with changes in fair value recognized in net earnings in the period in which they arise. Available-for-sale financial assets are measured at fair value with changes in fair value recognized in other comprehensive income in the period in which they arise. Held-to-maturity financial assets, loans and receivables and other financial liabilities are initially recorded at fair value and are subsequently measured at amortized cost.

(f) Hedge Accounting

The Company uses derivatives and other non-derivative financial instruments to manage exposures to fluctuations in interest rates, foreign exchange rates and commodity prices.

At the inception of a hedging relationship, the Company designates and formally documents the relationship between the hedging instrument and the hedged item, the risk management objective and the strategy for undertaking the hedge. The documentation identifies the specific asset, liability or anticipated cash flows being hedged, the risk that is being hedged, the type of hedging instrument used and how effectiveness will be assessed.

The Company also formally assesses, both at inception and at least quarterly thereafter, whether or not the derivatives that are used in hedging transactions are highly effective in offsetting the changes attributable to the hedged risks in the fair values or cash flows of the hedged items. If a hedge relationship becomes ineffective, it no longer qualifies for hedge accounting and any subsequent change in the fair value of the hedging instrument is recognized in earnings.

When hedge accounting is appropriate, the hedging relationship is designated as a cash flow hedge, a fair value hedge or a hedge of foreign currency exposure of a net investment in a self-sustaining foreign operation.

In a cash flow hedge, the change in fair value of the hedging instrument is recorded, to the extent it is effective, in other comprehensive income until the hedged item affects net earnings. The Company uses cash flow hedges to mitigate the risk from variable cash flows associated with forecasted foreign currency denominated cash flows.

In a fair value hedge, the change in fair value of the hedging derivative is offset in the consolidated statement of earnings by the change in fair value of the hedged item relating to the hedged risk.

In a net investment hedge, the change in fair value of the hedging instrument is recorded, to the extent it is effective, directly in other comprehensive income. These amounts are recognized in income when the corresponding cumulative translation adjustments from self-sustaining foreign operations are recognized in income.

Hedge ineffectiveness is measured and recorded in current period earnings in the consolidated statement of earnings. When either a fair value hedge or cash flow hedge is discontinued, any cumulative adjustment to either the hedged item or other comprehensive income is recognized in earnings as the hedged item affects earnings, or when the hedged item is derecognized. If a designated hedge is no longer effective, the associated derivative instrument is subsequently carried at fair value, with any gains or losses recorded in earnings, without any offset from the hedged item.

Changes in the fair value of derivatives that do not qualify for hedge accounting are carried at fair value in the consolidated balance sheets, and subsequent changes in their fair value are recorded in the consolidated statements of earnings.

(g) Inventories

Inventories are valued at the lower of cost and net realizable value, with cost being determined substantially on a first-in, first-out basis. Included in the cost of inventory are direct product costs, direct labour and an allocation of variable and fixed manufacturing overhead including depreciation.

(h) Impairment or Disposal of Long-lived Assets

The Company reviews long-lived assets or asset groups held and used including property and equipment and other intangible assets subject to amortization for recoverability whenever events or changes in circumstances indicate that their carrying amount may not be recoverable. Recoverability of assets to be held and used is measured by comparing the carrying amount of the asset to the sum of the undiscounted cash flows expected to result from the use and eventual disposal of the asset or asset group. An impairment loss is recognized when the carrying amount is not recoverable and exceeds the fair value of the asset or asset group. Long-lived assets are classified as held-for-sale when certain criteria are met and sale is expected to be completed within one year. The assets to be disposed of are separately presented in the balance sheet and reported at the lower of their carrying amount or fair value less costs to sell, and are no longer depreciated.

(i) Property and Equipment

Property and equipment are recorded at cost including, where applicable, interest capitalized during the construction or development period. Construction in process assets are capitalized during construction and depreciation commences when the asset is available for use. Depreciation is calculated using the straight line basis which is based on the expected useful life of the assets, as follows:

Buildings	15 – 40 years
Machinery and equipment	3 – 10 years

(j) Financing Costs

Costs incurred to obtain long-term debt financing are amortized over the term of such debt and the amount amortized is included in interest expense for the year.

(k) Goodwill and Other Intangible Assets

Goodwill is the residual amount that results when the purchase price of an acquired business exceeds the sum of the amounts allocated to identifiable assets acquired, less liabilities assumed, based on their fair values. Goodwill is allocated as of the date of the business combination to the Company's reporting units that are expected to benefit from the synergies of the business combination. The Company assigns value to certain acquired identifiable intangible assets, primarily brands, customer relationships and delivery routes.

The Company has both definite life and indefinite life intangible assets. Definite life intangibles are amortized on a straight-line basis over their estimated useful lives.

Trademarks	10 years
Customer relationship intangibles	20 – 25 years
Software	3 – 10 years

Goodwill is not amortized and is tested for impairment annually in the second quarter and otherwise as required if events occur that indicate that it is more likely than not that the carrying value of a reporting unit has been impaired. Impairment of goodwill is tested at the reporting unit level by comparing the reporting unit's carrying amount to its fair value. Indefinite life intangibles are tested for impairment annually in the fourth quarter and, as required, if events occur that indicate it is more likely than not the carrying value has been impaired. The impairment tests for indefinite life intangible assets and goodwill were performed in 2010 and 2009 and no impairments were identified.

(l) Income Taxes

The Company uses the asset and liability method of accounting for income taxes. Accordingly, future tax assets and liabilities are recognized for the future tax consequences attributable to differences between the financial statement carrying amounts of assets and liabilities and their respective tax bases. Future tax assets and liabilities are measured using enacted or substantively enacted tax rates expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. In addition, the effect on future tax assets and liabilities of a change in tax rates is recognized in income in the year that includes the enactment or substantive enactment date. A valuation allowance is recognized against future tax assets when it is more likely than not that all or some part of the asset will not be realized.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

(m) Employee Benefit Plans

The Company accrues obligations and costs in respect of employee benefit plans. The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected benefit method prorated on service and Management's best estimate of expected plan investment performance, salary escalation, retirement ages of employees and expected health care costs. Changes in these assumptions could affect future pension expense. For the purpose of calculating the expected return on plan assets, those assets are valued at fair value. Past service costs arising from plan amendments are amortized on a straight-line basis over the average remaining service period of employees active at the date of amendment.

Actuarial gains and losses in excess of 10% of the greater of the actuarial liabilities and the fair value of assets at the beginning of the year and all gains and losses due to changes in plan provisions are amortized on a straight-line basis over the expected average remaining service period of the active plan members. When a restructuring of a benefit plan gives rise to both a curtailment and settlement of obligations, the curtailment is accounted for prior to the settlement.

(n) Statement of Cash flows

Cash and cash equivalents are defined as cash and short-term securities with maturities less than 90 days at the date of acquisition, less bank indebtedness.

(o) Accounting Changes

(i) Effective January 1, 2009, the Company adopted Emerging Issues Committee Abstract 173, "Credit Risk and the Fair Value of Financial Assets and Financial Liabilities" ("EIC 173"). EIC 173 requires the Company to consider its own credit risk and the credit risk of the counterparty in determining the fair value of financial assets and financial liabilities, including derivative instruments. The adoption of EIC 173, which was adopted on a retrospective basis without restatement of prior periods did not have a material impact on the Company's financial statements.

(ii) In 2008, the Canadian Institute of Chartered Accountants ("CICA") issued Handbook Section 3064, "Goodwill and Intangible Assets" ("CICA 3064"). CICA 3064, which replaces Section 3062, "Goodwill and Other Intangible Assets", and Section 3450, "Research and Development Costs", establishes standards for the recognition, measurement and disclosure of goodwill and intangible assets. The Company adopted this standard on a retrospective basis on January 1, 2009. The adoption of the new standard did not have a material impact on the Company's financial statements.

(iii) In June 2009, the CICA amended Section 3862, "Financial Instruments – Disclosures", to include additional disclosure requirements about fair value measurement for financial instruments and liquidity risk disclosures. These amendments require a three-level hierarchy that reflects the significance of the inputs used in making the fair value measurements. Each level is based on the transparency of the inputs used to measure the fair values of assets and liabilities:

Level 1 – inputs are unadjusted quoted prices of identical instruments in active markets.

Level 2 – inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly or indirectly.

Level 3 – one or more significant inputs used in a valuation technique are unobservable in determining fair values of the instruments.

Determination of fair value and the resulting hierarchy requires the use of observable market data whenever available. The classification of a financial instrument in the hierarchy is based upon the lowest level of input that is significant to the measurement of fair value. The Company has complied with the new disclosure requirements beginning in 2009 and this disclosure is presented in Note 10.

(p) Recent Accounting Pronouncements

In January 2009, the CICA issued Handbook Section 1582, "Business Combinations" ("CICA 1582"). CICA 1582 requires that all assets and liabilities of an acquired business be recorded at fair value on the acquisition date and is consistent with International Financial Reporting Standards ("IFRS"). Obligations for contingent considerations and contingencies will also be recorded at fair value at the acquisition date. The standard also requires that acquisition-related costs be expensed as incurred and that restructuring charges be expensed in the periods in which they are incurred after the acquisition date. The Section applies prospectively to business combinations for which the acquisition date is on or after the beginning of the first annual reporting period on or after January 1, 2011.

In January 2009, the CICA issued Handbook Section 1601, "Consolidations" ("CICA 1601"), and Section 1602, "Non-controlling Interests" ("CICA 1602"). CICA 1601 establishes standards for the preparation of consolidated financial statements. CICA 1602 establishes standards for accounting for a non-controlling interest in a subsidiary in consolidated financial statements subsequent to a business combination. These standards apply to interim and annual consolidated financial statements relating to fiscal years beginning on or after January 1, 2011.

In February 2008, the CICA announced that Canadian public companies will be required to prepare their financial statements in accordance with International Financial Reporting Standards ("IFRS") for fiscal years beginning on or after January 1, 2011. The Company will issue its financial statements in the first quarter of 2011 in accordance with IFRS including comparative data for 2010.

(q) Comparative Figures

Certain 2009 comparative figures have been reclassified to conform to the financial statement presentation adopted in 2010.

3. ACCOUNTS RECEIVABLE

		2010		2009
Trade receivables (a)	**$**	**16,397**	$	59,117
Less: Allowance for doubtful accounts		**(2,120)**		(2,125)
Net trade receivables	**$**	**14,277**	$	56,992
Other receivables		**15,496**		6,628
	$	**29,773**	$	63,620

(a) During 2010, the Company entered into a new revolving securitization program that replaced the existing accounts receivable financing facilities. At December 31, 2010, the Company has sold certain of its trade accounts receivable to an entity owned by a financial institution. The Company retains servicing responsibilities and retains a limited recourse obligation for delinquent receivables. At December 31, 2010, trade accounts receivable being serviced under this program amounted to $105.2 million (2009: $70.0 million under the former facilities). In return for the sale of its trade receivables, the Company received cash of $46.0 million (2009: $70.0 million under former facilities) and a note receivable in the amount of $59.2 million (2009: nil). The note receivable is non-interest bearing and is due on the monthly accounts receivable settlement dates.

4. INVENTORIES

		2010		2009
Raw materials	**$**	**12,821**	$	13,482
Finished goods		**18,463**		19,875
Packaging		**8,699**		8,815
Spare parts		**15,494**		14,487
	$	**55,477**	$	56,659

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

5. PROPERTY AND EQUIPMENT

	2010		
	Cost	Accumulated Depreciation	Net Book Value
Land	$ 25,862	$ –	$ 25,862
Building	174,918	(59,285)	115,633
Machinery and equipment	533,258	(344,485)	188,773
Construction in progress	61,422	–	61,422
Total property and equipment	**$ 795,460**	**$ (403,770)**	**$ 391,690**

	2009		
	Cost	Accumulated Depreciation	Net Book Value
Land	$ 25,840	$ –	$ 25,840
Building	179,586	(56,345)	123,241
Machinery and equipment	529,963	(320,691)	209,272
Construction in progress	28,899	–	28,899
Total property and equipment	$ 764,288	$ (377,036)	$ 387,252

Depreciation expense included in earnings for the current year was $49.0 million (2009: $52.4 million). Details of asset impairments are discussed in Note 14.

6. GOODWILL

	2010	2009
Balance, beginning of year	$ 386,807	$ 404,484
Finalization of prior purchase equations	–	268
Reversal of acquisition-related accruals (net of tax)	–	(624)
Effect of changes in foreign exchange rates	(10,913)	(17,321)
Balance, end of year	$ 375,894	$ 386,807

7. OTHER LONG-TERM ASSETS

	2010	2009
Deferred pension asset (Note 18)	$ 12,760	$ 11,230
Other assets	828	390
	$ 13,588	$ 11,620

8. OTHER INTANGIBLE ASSETS

	Brands	Customer Relationships	Other	Total
Cost				
December 31, 2009	**$ 7,402**	**$ 14,440**	**$ 1,266**	**$ 23,108**
Disposals	**–**	**–**	**(254)**	**(254)**
Effect of changes in foreign exchange rates	**(25)**	**(1,074)**	**–**	**(1,099)**
Balance December 31, 2010	**$ 7,377**	**$ 13,366**	**$ 1,012**	**$ 21,755**
Amortization and Impairment				
Balance December 31, 2009	**$ 4,933**	**$ 1,497**	**$ –**	**$ 6,430**
Amortization	**639**	**545**	**–**	**1,184**
Impairments	**–**	**623**	**–**	**623**
Effect of changes in foreign exchange rates	**(2)**	**(106)**	**–**	**(108)**
Balance December 31, 2010	**$ 5,570**	**$ 2,559**	**$ –**	**$ 8,129**
Net carrying value				
December 31, 2010	**$ 1,807**	**$ 10,807**	**$ 1,012**	**$ 13,626**

	Brands	Customer Relationships	Other	Total
Cost				
December 31, 2008	$ 5,993	$ 13,341	$ 1,768	$ 21,102
Additions	1,500	1,700	–	3,200
Disposals	–	–	(502)	(502)
Effect of changes in foreign exchange rates	(91)	(601)	–	(692)
Balance December 31, 2009	$ 7,402	$ 14,440	$ 1,266	$ 23,108
Amortization and Impairment				
Balance December 31, 2008	$ 2,788	$ 863	$ –	$ 3,651
Amortization	933	673	–	1,606
Impairments	1,212	–	–	1,212
Effect of changes in foreign exchange rates	–	(39)	–	(39)
Balance December 31, 2009	$ 4,933	$ 1,497	$ –	$ 6,430
Net carrying value				
December 31, 2009	$ 2,469	$ 12,943	$ 1,266	$ 16,678

Intangible asset impairments relate to restructuring in the Fresh Bakery business (Note 14).

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

9. LONG-TERM DEBT

		2010		2009
Due to Maple Leaf (a)	**$**	**2,332**	$	2,547
Southern Ontario Development Program (b)		**1,629**		–
	$	**3,961**	$	2,547
Less: Current portion		**2,332**		–
	$	**1,629**	$	2,547

(a) Canada Bread has a $250.0 million revolving debt facility with Maple Leaf to provide liquidity for general corporate purposes, repayable on December 27, 2011. The facility bears interest based on bankers' acceptance rates for Canadian dollar loans and Libor for U.S. dollar and British pound loans.

Net interest under these facilities with Maple Leaf was $2.3 million in 2010 (2009: $3.3 million).

(b) During 2010, the Company received a government loan of $2.0 million from the Southern Ontario Development Program administered by the Federal Economic Development Agency. The loan is interest free and has monthly repayment requirements from 2012 to 2017. The Company recorded the proceeds of the loan at fair value of $1.6 million calculated using a discounted cash flow analysis and the loan is carried at amortized cost on the balance sheet.

(c) The Company has a demand operating line of credit of £5.0 million ($7.7 million) to provide short-term funding for its U.K. operations. The facility has interest based on Libor rates. As at December 31, 2010, £5.0 million ($7.7 million), (2009: £2.5 million; $4.2 million) was outstanding and has been classified as bank indebtedness.

(d) The Company has demand operating facilities of $20.0 million (2009: $20.5 million), which bear interest at short-term rates. At December 31, 2010, $nil was utilized under these facilities (2009: $nil).

(e) The Company has a demand letter of credit facility of $10.0 million (2009: $10.0 million) of which $9.1 million as at December 31, 2010, (2009: $8.9 million) was utilized.

(f) The Company's weighted average cost of borrowing for 2010 was 5.5% (2009: 4.5%) including the impact of amortization of losses on terminated interest rate swaps (Note 10 and 13).

Required repayments of long-term debt are as follows:

2011	$	2,332
2012		114
2013		324
2014		343
2015		363
Thereafter		485
	$	3,961

10. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT ACTIVITIES

CAPITAL

The Company's objective is to maintain a cost effective capital structure that supports its long-term growth strategy and maximizes operating flexibility. In allocating capital to investments to support its earnings goals, the Company establishes internal hurdle return rates for capital initiatives. Capital projects are generally financed with senior debt and internal cash flows.

The Company uses leverage in its capital structure to reduce the cost of capital. The Company's goal is to maintain its primary credit ratios and leverage at levels that are designed to provide continued access to investment grade credit pricing and terms. The Company measures its credit profile using a number of metrics, primarily net debt to earnings before interest, income taxes, depreciation, amortization and restructuring and other related costs. The Company's primary credit facility with

Maple Leaf was amended on September 2, 2008 to extend the final maturity date to December 27, 2011 and to adjust pricing to reflect increases in market prices for similar loans. This revolving credit facility, which provides for available credit of up to $250.0 million is unsecured and is subject to certain financial covenants. As at December 31, 2010, the Company was in compliance with all of these covenants.

In addition to senior debt and equity, the Company may use operating leases and limited recourse accounts receivable securitization programs as additional sources of financing.

The Company has maintained a dividend distribution that is based on a sustainable net earnings base.

For the year ended December 31, 2010, total equity increased by $38.8 million to $785.8 million. During the same period, total cash and cash equivalents net of debt, increased by $21.8 million from an asset position of $50.9 million to $72.7 million.

FINANCIAL INSTRUMENTS

The Company's financial assets and liabilities are classified into the following categories:

Cash and cash equivalents	Held-for-trading
Accounts receivable	Loans and receivables
Note receivable	Loans and receivables
Bank indebtedness	Other financial liabilities
Accounts payable and accrued charges	Other financial liabilities
Due to Maple Leaf Foods Inc.	Other financial liabilities
Dividends payable	Other financial liabilities
Long-term debt	Other financial liabilities
Derivative instruments (i)	Held-for-trading

(i) These derivative instruments may be designated as cash flow hedges or as fair value hedges as appropriate.

The fair value of financial assets classified as loans and receivables and financial liabilities (excluding long-term debt) approximate their carrying value due to their short-term nature. Financial assets and liabilities designated as held-for-trading and all derivative financial instruments are recorded at fair value. The carrying value of long-term debt as at December 31, 2010 is $4.0 million which approximates fair value.

The fair value of the Company's long-term debt was estimated based on discounted future cash flows using current rates for similar financial instruments subject to similar risks and maturities. The fair values of the Company's interest rate and foreign exchange derivative financial instruments were estimated using current market measures for interest rates and foreign exchange rates. Commodity futures and options contracts are exchange-traded and fair value was determined based on exchange prices.

The risks associated with the Company's financial instruments and policies for managing these risks are detailed below.

CREDIT RISK

Credit risk refers to the risk of losses due to failure of the Company's customers or other counterparties to meet their payment obligations.

In the normal course of business, the Company is exposed to credit risk from its customers. The Company performs ongoing credit evaluations of new and existing customers' financial condition and reviews the collectibility of its trade and other receivables in order to mitigate any possible credit losses. As at December 31, 2010 approximately $3.3 million (2009: $2.7 million) of the Company's accounts receivable were greater than 60 days past due. The Company maintains an allowance for doubtful accounts that represents its estimate of uncollectible amounts. The components of this allowance include a provision related to specific losses estimated on individually significant exposures and a provision based on historical trends of collections. As at December 31, 2010, the Company has recorded an allowance for doubtful accounts of $2.1 million (2009: $2.1 million). Average accounts receivable days sales outstanding for the year is consistent with historic trends. There are no significant impaired accounts receivable that have not been provided for in the allowance for doubtful accounts. The Company believes that the allowance for doubtful accounts sufficiently covers any credit risk related to past due or impaired accounts receivable balances.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Management believes concentrations of credit risk with respect to accounts receivable is limited due to the generally high credit quality of the Company's major customers, and the large number and geographic dispersion of smaller customers. The Company does, however, conduct a significant amount of business with large grocery retailers. The Company's three largest customers comprise approximately 35.7% (2009: 37.0%) of consolidated pre-securitized accounts receivable at December 31, 2010 and the two largest customers comprise approximately 30.2% (2009: 28.8%) of consolidated sales.

The Company is exposed to credit risk on its cash and cash equivalents (comprising primarily deposits and short-term placements with Canadian chartered banks) and non exchange-traded derivatives contracts. The Company mitigates this credit risk by only dealing with counterparties that are major international financial institutions with long-term debt ratings of single A or better.

The Company's maximum exposure to credit risk at the balance sheet date consists primarily of the carrying value of non-derivative financial assets and non exchange-traded derivatives with positive fair values.

LIQUIDITY RISK

Liquidity risk is the risk that the Company will encounter difficulty in meeting obligations associated with its financial liabilities.

The contractual undiscounted principal cash flows payable in respect of financial liabilities as at the balance sheet date are as follows:

	As at December 31, 2010		
	Due within 1 year	Due after 1 year	**Total**
Non-derivative financial liabilities			
Bank indebtedness	$ 7,777	$ –	**$ 7,777**
Accounts payable and accrued charges	185,216	–	**185,216**
Due to Maple Leaf Foods Inc.	5,336	–	**5,336**
Dividends payable	1,525	–	**1,525**
Long-term debt	2,332	1,629	**3,961**
Total	**$ 202,186**	**$ 1,629**	**$ 203,815**

The Company manages liquidity risk by monitoring forecasted and actual cash flows, maintaining sufficient undrawn committed credit facilities and managing the maturity profiles of financial assets and financial liabilities to minimize refinancing risk.

As at December 31, 2010, the Company had available undrawn committed credit of $247.7 million under the terms of its principal credit facility with Maple Leaf.

MARKET RISK

Interest Rate Risk

Interest rate risk refers to the risk that the value of a financial instrument or cash flows associated with the instrument will fluctuate due to changes in market interest rates.

The Company's interest rate risk arises from long-term borrowings issued at fixed rates that create fair value interest rate risk and variable rate borrowings that create cash flow interest rate risk. In addition, the Company's cash balances are typically invested in short-term interest bearing assets.

At December 31, 2010, the Company had variable rate debt of $10.1 million with a weighted average interest rate of 2.3%. In addition, the Company is exposed to floating interest rates on its accounts receivable securitization programs. As at December 31, 2010, the amount sold pursuant to these programs was $45.8 million at a weighted average interest rate of 2.4%.

It is estimated that, all else constant, a one percentage point change in interest rates would not materially impact net earnings.

The Company manages its interest rate risk exposure by using a mix of fixed and variable rate debt and periodically using interest rate derivatives to achieve the desired proportion of variable to fixed-rate debt.

As at December 31, 2010, 97.2% (2009: 100.0%) of the Company's outstanding debt and revolving accounts receivable securitization program was exposed to interest rate movements.

Foreign Exchange Risk

Foreign exchange risk refers to the risk that the value of financial instruments or cash flows associated with the instruments will fluctuate due to changes in foreign exchange rates.

The Company's foreign exchange risk arises primarily from transactions in currencies other than Canadian dollars and investments in foreign operations.

The Company uses foreign exchange forward contracts to manage foreign exchange transaction exposures. The primary currency to which the Company is exposed is the U.S. dollar. Qualifying foreign currency forward contracts are accounted for as cash flow hedges.

It is estimated that, all else constant, a hypothetical 10.0% change in the value of the Canadian dollar against all relevant currencies would result in a change in the fair value of the Company's foreign exchange forward contracts of $1.5 million ($1.1 million after-tax) and an offsetting change in net earnings of $1.5 million ($1.1 million after-tax).

Commodity Price Risk

The Company is exposed to price risk related to purchases of wheat and other agricultural commodities used as raw materials. The Company may use fixed price contracts with suppliers and exchange-traded futures and options to manage its exposure to price fluctuations.

The Company applies the normal purchases classification to certain contracts that are entered into for the purpose of procuring wheat to be used in production within the normal course of business.

The fair values and notional amounts of derivative financial instruments are shown below:

	2010			2009		
	Notional Amount[i]	Fair Value		Notional Amount[i]	Fair Value	
		Asset	Liability		Asset	Liability
Cash Flow Hedges						
Foreign exchange forward contracts	$ –	$ –	$ –	$ 23,529	$ 329	$ –
Derivatives not Designated in a Formal Hedging Relationship						
Foreign exchange forward contracts[ii]	$ 47,624	$ –	$ 427	$ 496	$ –	$ 6
Total		$ –	$ 427		$ 329	$ 6
Current		$ –	$ 204		$ 329	$ 6
Non-current		–	223		–	–
Total		$ –	$ 427		$ 329	$ 6

(i) Notional amounts are stated at the contractual Canadian dollar equivalent.
(ii) 2010 related party foreign exchange contracts with Maple Leaf Foods Inc. included a notional amount of $32.0 million with a non-current fair value liability of $0.2 million.

For the years ended December 31, 2010 and 2009, the amount of hedge ineffectiveness recognized in earnings was not material.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Fair Value Hierarchy

Assets and liabilities carried at fair value must be classified using a three-level hierarchy that reflects the significance of the inputs used in making the fair value measurements.

The table below sets out fair value measurements of financial instruments using the fair value hierarchy.

	Level 1	Level 2	Level 3	Total
Liabilities:				
Foreign exchange forward contracts	$ –	$ 427	$ –	**$ 427**

There were no transfers between levels during the year ended December 31, 2010.

11. OTHER LONG-TERM LIABILITIES

	2010	2009
Post-retirement benefit liability (Note 18)	**$ 2,854**	$ 2,921
Pension liability (Note 18)	**4,087**	3,991
Other	**1,492**	1,612
	$ 8,433	$ 8,524

12. SHAREHOLDERS' EQUITY

Shareholders' equity consists of the following:

	2010	2009
Share capital (25,416,812 common shares (2009: 25,416,812 common shares))	**$ 142,965**	$ 142,965
Retained earnings	**713,416**	658,541
Accumulated other comprehensive loss (Note 13)	**(70,535)**	(54,419)
	$ 785,846	$ 747,087

The authorized share capital of the Company consists of an unlimited number of common shares and 25,000 preference shares, issuable in series. As at December 31, 2010 there were no issued and outstanding preference shares.

13. ACCUMULATED OTHER COMPREHENSIVE LOSS

Accumulated other comprehensive loss consists of the following:

	2010	2009
Balance at the beginning of the year [i]	**$ (54,419)**	$ (21,788)
Adoption of new accounting standard [ii]	**–**	13
Adjusted balance at the beginning of the year	**$ (54,419)**	$ (21,775)
Change in accumulated foreign currency translation adjustment [i]	**(21,704)**	(34,398)
Change in unrealized loss on cash flow hedges – net [iii]	**5,588**	1,754
Other comprehensive loss for the year	**$ (16,116)**	$ (32,644)
Accumulated other comprehensive loss as at December 31	**$ (70,535)**	$ (54,419)

(i) Balance at the beginning of the current year is net of tax of $nil (2009: $nil). The change in accumulated foreign currency translation adjustment is net of tax of $nil for the 12 months ended December 31, 2010 (2009: $nil).

(ii) Effective January 1, 2009, the Company adopted Emerging Issues Committee Abstract 173, "Credit Risk and the Fair Value of Financial Assets and Financial Liabilities" ("EIC 173"). EIC 173 requires the Company to consider its own credit risk and the credit risk of the counterparty in determining the fair value of financial assets and financial liabilities, including derivative instruments.

(iii) Change in unrealized derivative loss on cash flow hedges is net of tax of $2.0 million for the 12 months ended December 31, 2010 (2009: $0.8 million).

On October 27, 2010, the Company finalized a $60.0 million accounts receivable securitization facility for a term of three years that replaced the previous accounts receivable financing facility. As a result of the new facility, the unamortized, unrealized derivative losses on the termination of interest rate swaps of $5.9 million in accumulated other comprehensive loss, which hedged interest rate risk on the previous facility, was released to earnings in 2010.

The Company estimates that $0.1 million of net unrealized derivative losses included in accumulated other comprehensive loss will be reclassified into net earnings within the next 12 months. The actual amount of this reclassification will be impacted by future changes in the fair value of financial instruments designated as cash flow hedges and the actual amount reclassified could differ from this estimated amount. During the year, a loss of approximately $5.1 million (net of tax of $2.1 million) was released to earnings from accumulated other comprehensive loss, which is included in the net change for the year.

The ending balance of accumulated other comprehensive loss comprises accumulated unrealized foreign currency translation losses of $70.4 million, net of tax of $nil (2009: $48.8 million, net of tax of $nil) and unrealized loss on cash flow hedges of $0.1 million, net of tax of $nil (2009: $5.6 million, net of tax of $2.0 million).

14. RESTRUCTURING AND OTHER RELATED COSTS

During 2010, the Company recorded restructuring and other related costs of $15.5 million ($11.6 million after-tax). Of this pre-tax amount, $10.4 million related to the Company's announcement to consolidate several Fresh Bakery facilities into one new bakery in Ontario. In addition, $2.0 million of these costs related the realignments of the U.K. bakery operations. The Company also incurred $1.1 million in restructuring costs related to the sale of a fresh prepared foods facility in Quebec. The balance of the restructuring costs was incurred in connection with the ongoing restructuring initiatives of the Company.

During 2009, the Company recorded restructuring and other related costs of $4.9 million ($3.7 million after-tax). These costs related primarily to the Company's announcement to consolidate its pasta and sandwich operations and recorded $3.5 million which included severances and a write-down of $1.2 million related to the discontinuance of a brand name. The balance of the restructuring costs was incurred in connection with the ongoing restructuring initiatives of the Company.

The following table provides a summary of costs recognized and cash payments made in respect of the above-mentioned restructuring and other related costs and the corresponding liability as at December 31, 2010, all on a pre-tax basis:

	Severance	Site closing	Asset impairment and accelerated depreciation	Retention	Pension	Total
Balance at December 31, 2008	**$ 1,137**	**$ 2,956**	**$ –**	**$ –**	**$ –**	**$ 4,093**
Charges	2,003	527	2,378	–	–	**4,908**
Cash payments	(868)	(1,836)	–	–	–	**(2,704)**
Non-cash items	–	–	(2,378)	–	–	**(2,378)**
Balance at December 31, 2009	**$ 2,272**	**$ 1,647**	**$ –**	**$ –**	**$ –**	**$ 3,919**
Charges	11,223	1,529	1,614	384	798	**15,548**
Cash payments	(2,267)	(1,720)	–	–	–	**(3,987)**
Non-cash items	–	–	(1,614)	–	(798)	**(2,412)**
Balance at December 31, 2010	**$ 11,228**	**$ 1,456**	**$ –**	**$ 384**	**$ –**	**$ 13,068**

15. OTHER INCOME (EXPENSE)

	2010	2009
Loss on termination of interest rate swaps (Note 13)	**$ (5,876)**	$ –
Recovery from insurance claim	**–**	2,548
Loss on sale of property and equipment	**(126)**	(471)
Other	**183**	362
	$ (5,819)	$ 2,439

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

16. INTEREST EXPENSE

	2010	2009
Interest expense on securitized receivables (Note 3)	$ 1,455	$ 1,375
Interest expense on long-term debt (Note 9)	2,336	3,265
Other interest expense (income)	(483)	444
	$ 3,308	$ 5,084

17. INCOME TAXES

Income tax expense varies from the amount that would be computed by applying the combined federal and provincial statutory income tax rates as a result of the following:

	2010	2009
Income tax expense according to combined statutory rate of 30.1% (2009: 31.4%)	$ 25,861	$ 35,458
Increase (decrease) in income taxes resulting from:		
Manufacturing and processing credit	(829)	(612)
Rate difference in foreign jurisdictions	(720)	(974)
Non-taxable gains	5	(101)
Valuation allowance – U.S. tax losses	2,405	718
Tax benefits related to prior acquisitions	(1,500)	–
Future tax rate changes	–	(821)
Non-deductible amounts	112	1,071
Other	(507)	767
	$ 24,827	$ 35,506

The tax effects of temporary differences that give rise to significant portions of the future tax assets and future tax liabilities at December 31 are presented below:

	2010	2009
Future tax assets:		
Accrued liabilities	$ 3,805	$ 1,417
Losses carried forward	44,967	41,815
Other	1,296	3,896
Valuation allowance	(29,131)	(32,359)
	$ 20,937	$ 14,769
Future tax liabilities:		
Property and equipment – differences in net book value and undepreciated capital cost	$ 26,851	$ 26,030
Goodwill	15,435	15,430
Other	5,433	5,007
	$ 47,719	$ 46,467
Classified in the consolidated financial statements as:		
Future tax asset – current	$ 4,015	$ 1,640
Future tax liability – non-current	(30,797)	(33,338)
Net future tax liability	$ (26,782)	$ (31,698)

In accordance with CICA Handbook Section 3465, "Accounting for Income Taxes", the Company reviews all available positive and negative evidence to evaluate the recoverability of future tax assets. This includes a review of the Company's cumulative losses in recent years, the carry forward period related to the tax losses, and the tax planning strategies available to the Company. Upon applying these accounting rules to the Company's accumulated tax losses in the U.S. Frozen Bakery business, there continues to be sufficient uncertainty surrounding the timing and amount of losses that will be utilized. Accordingly, the Company has recorded a valuation allowance of $22.5 million (US$22.6 million) as at December 31, 2010 (2009: $24.1 million (US$23.0 million) with respect to accumulated tax losses in the U.S.

18. PENSIONS AND OTHER POST-RETIREMENT BENEFITS

Information about the Company's defined benefit plans as at December 31 is as follows:

	2010	2009
Accrued benefit obligation:		
Balance, beginning of year	**$ 123,663**	$ 112,745
Current service cost	**2,839**	2,097
Interest cost	**6,980**	7,239
Benefits paid	**(8,938)**	(11,213)
Actuarial losses	**12,896**	11,918
Employee contributions	**838**	877
Special termination benefits	**350**	–
Curtailments	**(50)**	–
Balance, end of year	**$ 138,578**	$ 123,663
Plan assets:		
Fair value, beginning of year	**$ 98,096**	$ 89,800
Actual return on plan assets	**7,888**	13,591
Employer contributions	**6,058**	5,041
Employee contributions	**838**	877
Benefits paid	**(8,938)**	(11,213)
Fair value, end of year	**$ 103,942**	$ 98,096
Funded status – plan deficit	**$ (34,636)**	$ (25,567)
Unamortized transitional amount	**(3,555)**	(4,334)
Unamortized actuarial losses	**44,242**	34,128
Unamortized prior service costs	**2,216**	2,608
Net accrued benefit asset, end of year[(i)]	**$ 8,267**	$ 6,835

(i) Includes one defined benefit plan with an accrued benefit liability of $4.5 million (2009: $4.4 million).

Amounts recognized in the consolidated balance sheet consist of:

	2010	2009
Other long-term assets (Note 7)	**$ 12,760**	$ 11,230
Accounts payable and accrued charges	**406**	404
Other long-term liabilities (Note 11)	**4,087**	3,991

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

The pension assets are invested in the following asset categories at December 31:

	2010	2009
Equity securities	**59%**	56%
Debt securities	**41%**	44%
	100%	100%

The significant actuarial assumptions adopted in measuring the Company's accrued benefit obligations and net benefit plan expense are as follows as of December 31:

	2010	2009
Discount rate used to calculate net benefit plan expense	**5.75%**	6.50%
Discount rate used to calculate year-end accrued benefit obligation	**5.00%**	5.75%
Expected long-term rate of return on plan assets	**7.25%**	7.25%
Rate of compensation increase	**3.50%**	3.50%

The Company's net benefit plan expense for the year ended December 31 is as follows:

	2010	2009
Current service cost – defined contribution plans	$ **8,642**	$ 8,270
Current service cost – defined benefit plans	**2,839**	2,097
Interest cost	**6,980**	7,239
Actual return on plan assets	**(7,888)**	(13,591)
Difference between actual and expected return on assets	**1,013**	7,108
Actuarial losses recognized	**12,896**	11,918
Difference between actual and recognized actuarial gains in the year	**(11,483)**	(10,681)
Amortization of transitional amount	**(778)**	(778)
Difference between prior service costs and actual plan amendments in the year	**249**	249
Curtailment loss	**448**	–
Special termination benefits	**350**	–
Net benefit plan expense	**$ 13,268**	$ 11,831

Measurement dates for defined benefit plan obligations and expense:

2010 Expense	December 31, 2009
Balance Sheet	December 31, 2010

In addition, the Company has accrued and included in other long-term liabilities $2.9 million (2009: $2.9 million) in respect of post-retirement benefit obligations. A one percentage change in health care cost trend would not have significant impact on the year end obligation or the 2010 current service cost and interest costs.

19. RELATED PARTY TRANSACTIONS

Maple Leaf provides certain services to the Company under the terms of a management services agreement. These services include, but are not limited to, treasury and cash management, taxation, internal audit, accounting, external financial reporting, investor relations, public relations, corporate secretarial, legal services, insurance, human resources, access to senior Maple Leaf management time for operating involvement, M&A transactions, etc. Fees paid by the Company for these services are based on the actual cost of providing such corporate operations at Maple Leaf, and are allocated based on the proportion of assets employed to the total assets in the group, which is consistent with the allocation of such costs to other Maple Leaf companies.

In addition to the fees charged for these general management services, the Company is separately charged by Maple Leaf for computer systems services, engineering services, marketing and consumer affairs, and Six Sigma resources on a cost recovery basis according to estimates of the Company's use of these services.

Fees paid to Maple Leaf in 2010 for these services were $50.5 million (2009: $38.7 million).

The Company paid $1.6 million (2009: $1.6 million) for services in the normal course of business and at market prices to Day & Ross Transportation Group, a subsidiary of McCain Foods Limited. McCain Foods Limited is partly owned by McCain Capital Corporation; a 31.3% shareholder in Maple Leaf Foods Inc.

20. GOVERNMENT INCENTIVES

During the year, the Company received an interest free loan of $2.0 million from the Federal Economic Development Agency related to the construction of a new bakery in Hamilton, Ontario. The loan is repayable over a period of five years beginning 2012. The Company received other incentives totalling $0.2 million (2009: $nil). These incentives were recorded as reductions of cost of goods sold in the consolidated statements of earnings.

21. ACQUISITIONS

On January 29, 2008, the Company acquired the shares of Aliments Martel Inc. ("Martel"), a manufacturer and distributor of sandwiches, meals and sweet goods based in Quebec for an initial purchase price of $44.6 million plus contingent consideration of up to $22.6 million, based on financial performance over three years post-acquisition. During the first quarter of 2009, the Company finalized the purchase equation, allocating $15.4 million to the identifiable net tangible assets of Martel at the acquisition date and $29.2 million to goodwill and intangible assets. The acquired intangible assets include $1.5 million allocated to trademarks that are being amortized on a straight-line basis over 10 years and $1.7 million allocated to customer relationships that are being amortized on a straight-line basis over 20 years.

Details of net assets acquired and purchase adjustments made in 2009 are as follows:

		2009
Net working capital	$	(624)
Future tax asset – non-current		(13)
Property and equipment		(2,445)
Intangible assets		3,200
Goodwill		268
Future tax liability – non-current		(63)
Total purchase cost	$	323

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

22. CONTINGENCIES AND COMMITMENTS

(a) The Company has been named as a defendant in several legal actions and is subject to various risks and contingencies arising in the normal course of business. Management is of the opinion that the outcome of these uncertainties will not have a material adverse effect on the Company's financial position.

(b) In the normal course of business, the Company enters into sales commitments with various customers and suppliers. These commitments are for varying terms and can provide for fixed or variable prices. With respect to certain of its contracts, the Company has the right to acquire at fair value, and the suppliers have the right to sell back to the Company certain assets, which have an estimated fair value of $7.2 million (2009: $7.9 million). The Company believes that these contracts serve to reduce risk, and it is not anticipated that losses will be incurred on these contracts.

(c) The Company has operating lease commitments in respect of property and equipment used in operations that require minimum annual payments as follows:

2011	$	20,300
2012		14,546
2013		11,166
2014		8,685
2015		5,845
Thereafter		8,555
	$	69,097

23. SUPPLEMENTAL CASH FLOW INFORMATION

		2010		2009
Net interest paid	**$**	**3,661**	$	5,116
Net income taxes paid		**39,944**		30,388

24. EARNINGS PER SHARE

The following table sets forth the calculation of basic and diluted earnings per share:

		2010		2009
Earnings available to common shareholders – basic and diluted	**$**	**60,975**	$	77,478
Weighted average common shares outstanding – basic and diluted (in thousands)		**25,417**		25,417
Basic and diluted earnings per share:	**$**	**2.40**	$	3.05

25. SUBSEQUENT EVENTS

On February 23, 2011, the Company declared a dividend of $0.06 per share, payable to shareholders of record as of March 10, 2011, on April 1, 2011.

On February 18, 2011, the Company completed the sale of its Fresh Bakery sandwich business for $8.0 million, subject to post closing adjustments.

26. SEGMENTED FINANCIAL INFORMATION

The Company's operations are classified into the following two primary business segments, which have been used for the operating segment disclosures for all years presented:

(a) Fresh Bakery includes fresh bakery products, sweet goods, sandwiches and specialty fresh pasta and sauces.

(b) Frozen Bakery includes North American and U.K. frozen bakery products including frozen par-baked and specialty bakery products.

	2010	2009
Sales		
Fresh Bakery	**$ 1,086,827**	$ 1,119,790
Frozen Bakery	**501,610**	585,998
	$ 1,588,437	$ 1,705,788
Earnings from operations before restructuring and other related costs and other income		
Fresh Bakery	**$ 99,226**	$ 91,535
Frozen Bakery	**11,251**	29,002
	$ 110,477	$ 120,537
Capital expenditures		
Fresh Bakery	**$ 47,880**	$ 21,722
Frozen Bakery	**18,715**	19,937
	$ 66,595	$ 41,659
Depreciation and amortization		
Fresh Bakery	**$ 26,866**	$ 27,632
Frozen Bakery	**23,293**	26,360
	$ 50,159	$ 53,992
Total assets		
Fresh Bakery	**$ 470,339**	$ 441,020
Frozen Bakery	**451,810**	476,681
Non-allocated assets	**109,990**	68,711
	$ 1,032,139	$ 986,412
Goodwill		
Fresh Bakery	**$ 157,194**	$ 155,946
Frozen Bakery	**218,700**	230,861
	$ 375,894	$ 386,807

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Information About Geographic Areas

During the year, total revenues from external customers outside of Canada were $355.1 million (2009: $420.6 million). Of this amount $195.5 million (2009: $216.3 million) was attributed to sales made in the United States and $153.2 million (2009: $196.2 million) attributed to sales made in the United Kingdom.

Property and equipment located outside of Canada were $121.6 million (2009: $132.6 million). Of this amount $72.1 million (2009: $77.7 million) related to property and equipment located in the United States and $49.5 million (2009: $54.9 million) related to property and equipment located in the United Kingdom.

Goodwill attributed to countries foreign to Canada is $166.3 million (2009: $178.3 million). Of this amount $84.0 million (2009: $88.5 million) related to goodwill attributed to operations in the United States and $82.3 million (2009: $89.8 million) related to goodwill attributed to operations located in the United Kingdom.

Information About Major Customers

During the year, the Company reported sales to two customers, each representing greater than 10.0% of total sales. Sales to one customer represented 18.0% (2009: 17.1%) of total sales, while sales to a second customer represented 12.2% (2009: 11.7%) of total sales. Sales to each customer are reported in both the Fresh Bakery and Frozen Bakery businesses.